

aspect of risk, not necessarily the most important, while upside volatility isn't much of a risk at all—unless you are short.

What course do you teach?

I teach at Columbia Business School. The first four years, I taught a course called Security Analysis, and for the past 12 years, I have taught a course called Value and Special Situation Investing. They are not that different.

What do you teach your students?

Buffett said if he were to teach a business class, he would teach two things: how to value a business and how to think about stock prices. That's what I do. In the first lecture of the course, I point out that, although they are all very smart, and there are many other good business schools in the country whose students are also very smart, most MBAs who get involved in the markets will fail. I explain that therefore it can't be intelligence that is the defining reason why someone is successful in the markets. I think the difference between those who succeed and those that fail is how they think about the market. Everyone is bombarded every day with price movements, explanations for those price movements, macro events, and lots of other information. You need a methodology to cut through all that information and see things as they are. It all comes back to the way Graham looked at the market. Over the short term, prices fluctuate due to emotion, but over the long term, they come back to value. Value investing is figuring out what a business is worth and paying a lot less.

I promise my students that if they do good valuation work, the market will agree with them; I just don't tell them when. It could be a few weeks, a few months, or even a few years. But generally, if you have done good valuation work, 98 percent of the time, two or three years is enough time for the market to agree with you. That is a very powerful concept. It gives you patience. Of course, if you do poor valuation work, you can get into trouble. But if you stick to things you understand well, do good valuation work, give yourself a wide margin of safety, and have confidence in your work, eventually, you will end up doing quite well.